EQUITY RESEARCH · INITIATION OF COVERAGE · INDIA · BANKS (PRIVATE SECTOR)

HDFC Bank Ltd

NSE: HDFCBANK · Mumbai · merged with HDFC Ltd on 1 July 2023

Balance-sheet growth is back, margins and leadership are the debate — a marginal Buy

RATING	CMP (16-Oct-26)	12-MONTH TARGET	PRICE UPSIDE / DIV. YIELD
BUY	**₹728.85**	**₹845**	**+15.9% / 2.1%**

Summary. HDFC Bank is the largest bank in our peer set by market capitalisation (₹11.24 lakh crore at 16 October 2026). In FY26 it earned a standalone profit of ₹74,671 cr (+10.9%) on a balance sheet of ₹43.65 lakh cr, with ROA of 1.94%, ROE of 14.3%, gross NPAs of 1.15% and a CET1 ratio of 17.3%. On 17 October 2026 it reported Q2 FY27 profit of ₹19,510 cr (+4.7% YoY), with gross advances up 16.3% and deposits up 18.8% — growth that is faster than at any point in our FY26 data, after two years of deliberately slow loan growth following the merger with HDFC Ltd. The shares, however, are down about 27% over a year (₹681.90–1,020.50 range) as the net interest margin slid from 3.38% in Q4 FY26 to 3.16% in Q2 FY27 (on total assets), the chairman resigned in March 2026 citing practices he considered inconsistent with his values, and the CEO has announced he will not seek another term.

Why we rate the stock Buy. Two methods feed our target. First, a residual-income model — book value plus the present value of returns above a cost of equity of 11.5% — values the shares at ₹697 today and ₹777 on a 12-month view in our base case (PAT growth of 6.5% in FY27E, then 13–15% a year, ROE rising from 13.5% to 15.3%). Second, applying the median trailing P/E of four listed peers (16.45x) to our estimate of trailing EPS twelve months out (₹55.2) gives ₹908. The average, rounded to the nearest ₹5, is our ₹845 target: +15.9% price upside plus a 2.1% dividend yield, a total return of 18.1% against our 15% Buy threshold. **This is a marginal Buy.** Our own intrinsic-value method alone sits only 7% above the market price, and a one-point rise in cost of equity (to 12.5%) lowers value today to about ₹578.

What would change our view. Evidence that the margin has bottomed (management said on results day that the trajectory "should turn upwards from the next quarter onwards"), stable CASA and a smooth CEO handover would support the base case; a further fall in margin below 3.1% on assets with credit cost above 0.5% would move us toward our bear case (₹561 12-month value).

Key data	Value	Key financials (₹ cr, standalone)	FY25	FY26	FY27E	FY28E
Market cap	₹11,23,776 cr	Net profit	67,347	74,671	79,525	90,658
Shares	1,541.85 cr (derived)	Growth %	10.7	10.9	6.5	14.0
52-week range	₹681.90–1,020.50	EPS (₹)	44.01	48.62	51.6	58.8
FIIs / DIIs (Sep-26)	39.39% / 43.44%	P/E (x)	16.6	15.0	14.1	12.4
Promoter holding	None (0.00%)	Book value/share (₹)	–	365	400	440
GNPA / NNPA (Sep-26)	1.11% / 0.37%	P/B (x, our BVPS)	–	2.00	1.82	1.66
CAR / CET1 (Sep-26)	18.9% / 17.1%	ROE % (PAT/avg equity)	14.6 (bank)	14.3 (bank)	13.5	14.0

Source: HDFC Bank FY26 press release/annual report; Screener and Tickertape (16-Oct-26); our estimates for FY27E–FY28E. EPS FY25 is bonus-adjusted (Screener). Shares derived as market cap ÷ price.

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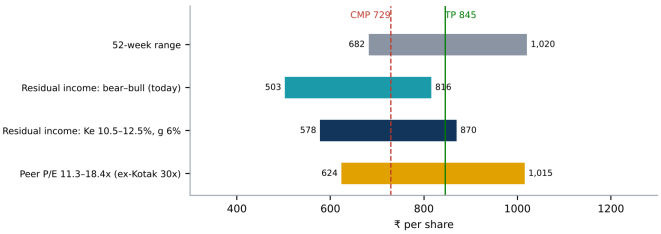


Figure 1: Valuation summary (₹ per share). Residual-income ranges are values today; the peer P/E bar applies 11.3x–18.4x (SBI to ICICI, excluding Kotak at 30.0x) to our trailing-EPS estimate twelve months out. Source: our estimates; Screener.

1. Investment thesis

We initiate with a marginal Buy. The business is strong and the valuation is undemanding relative to its closest private-sector peer, but the case rests on three assumptions that are not yet proven: that the margin has troughed, that deposit growth can be funded without a permanent loss of CASA, and that the leadership transition proceeds without disruption. We set out five observations and then the reasons the upside is modest.

1.1 Earnings have compounded at about 20% a year for a decade

Standalone net profit rose from ₹12,296 cr in FY16 to ₹74,671 cr in FY26, a compound rate of 19.8% (Screener annual data). Over the same ten years deposits grew from ₹5.46 lakh cr to ₹31.05 lakh cr (19.0% a year). Growth was lumpy: FY24 profit rose 37.9% because the merger with HDFC Ltd on 1 July 2023 added a mortgage book and, from that date, its earnings; FY25 and FY26 were +10.7% and +10.9%. Return on equity, which Screener shows at 16–18% for FY16–FY24, fell to 14% in FY25 and FY26 because the merger added equity (reserves rose from ₹2.80 lakh cr in FY23 to ₹4.39 lakh cr in FY24) before the acquired loan book had been fully re-financed with the Bank's lower-cost deposits.

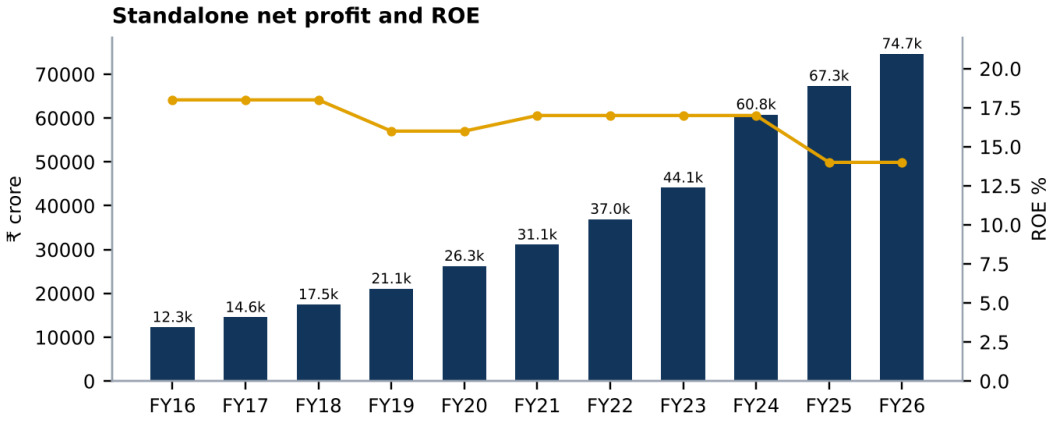


Figure 2: Standalone net profit (₹ cr, bars) and ROE (%, Screener). FY16–FY26. Source: Screener.

1.2 Growth has re-accelerated while quality is intact

In Q2 FY27 (quarter to 30 September 2026) gross advances were ₹32.195 lakh cr (+16.3% YoY) and advances under management grew 15.3%; deposits were ₹33.274 lakh cr (+18.8%) (Business Standard, 17 October 2026). By segment, retail advances grew 11.7%, SME 23.5% and wholesale 16.4%. Asset quality kept improving: gross NPA 1.11% (0.87% excluding agriculture) and net NPA 0.37%, the lowest in the eight-quarter series we hold (Figure 3). Capital is ample: CET1 17.1% and total CAR 18.9%, against a regulatory requirement of 11.9% (stated at March 2026).

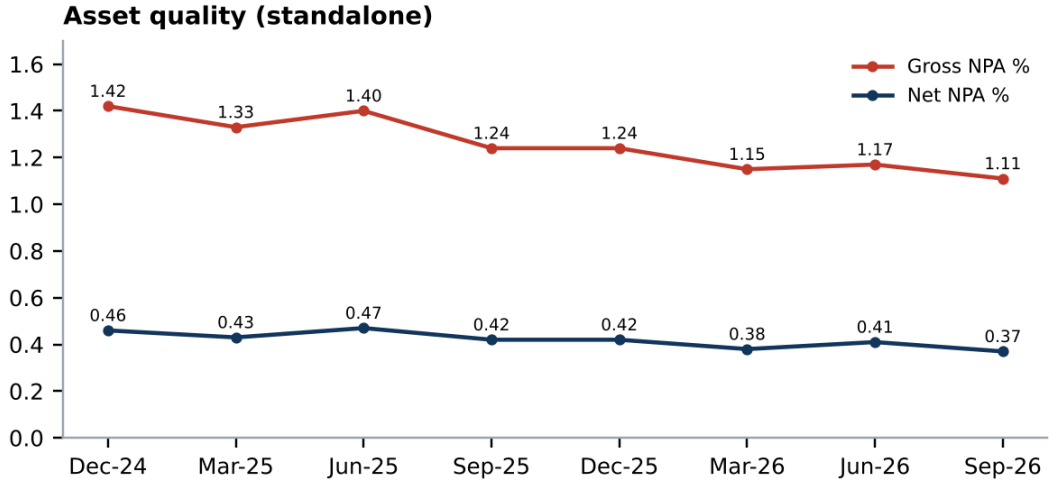


Figure 3: Gross and net NPA ratios, standalone, Dec-24 to Sep-26. Source: Screener quarterly data.

1.3 The margin is the central debate

Net interest margin on total assets was 3.34% for FY26 and 3.38% in Q4 FY26. It then fell to 3.26% in Q1 FY27 and 3.16% in Q2 FY27 (3.32% on interest-earning assets). Deposits grew faster than loans for the second quarter in our window, time deposits grew 22.8% and CASA only 10.8%, so CASA fell to 31.6% of deposits (about 33.9% a year earlier and 34.1% at March 2026). Treasury income was ₹780 cr against ₹2,390 cr a year earlier, which is why profit growth of 4.7% was well below net-interest-income growth of 9.7%; excluding treasury, reported profit growth was 12.6%. The Managing Director said the margin trajectory "should turn upwards from the next quarter onwards". We take that statement as a management expectation, not a fact, and model FY27E profit growth of only 6.5%.

1.4 Valuation is below the closest peer but not cheap against history

At ₹728.85 the shares trade at 15.0x FY26 EPS, 14.1x our FY27E EPS and about 1.9–2.0x book value, against ICICI Bank at 18.4x earnings and about 2.8x book. SBI (11.3x) and Axis Bank (14.5x) trade lower; Kotak (30.0x) is higher on a much smaller earnings base. We do not hold historical valuation ranges for HDFC Bank, so we do not make a claim about its position against its own history. Our residual-income model shows that at today's price the market is implicitly using a cost of equity of 11.3% on our base-case forecasts.

1.5 Leadership change adds uncertainty, but the process is orderly so far

On 1 October 2026 the board approved Anup Bagchi, currently MD & CEO of ICICI Prudential Life Insurance and a former executive director of ICICI Bank, as MD & CEO for three years from 27 October 2026, subject to RBI and shareholder approval. Sashidhar Jagdishan's term ends on 26 October 2026; he told the board on 29 August 2026 he would not seek reappointment. Deputy MD Kaizad Bharucha leaves at the end of December 2026, and Rajiv Kumar became Part-time Chairman after RBI approval on 15 July 2026. Three senior changes in nine months explain part of the share-price weakness, and we treat leadership as a key risk (Section 10).

1.6 Why the upside is modest

Our base-case residual-income value is only 6.7% above the share price on a 12-month view (₹777 vs ₹728.85). The Buy rating depends on the peer-P/E cross-check (₹908), which uses trailing multiples of peers that themselves earn different returns and carry different growth. Total return of 18.1% clears our 15% threshold by only 3.1 points, well within the error of the estimate (Section 8.5).

2. Recent developments

2.1 Q2 FY27 results (17 October 2026)

₹ crore (standalone)	Q2 FY27	Comparison
Net profit	19,510	+4.7% vs ₹18,641 cr; Q1 FY27 ₹19,060 cr
Net interest income	34,619	+9.7% YoY; Q1 FY27 ₹33,534 cr (+7%)
NIM (total assets / interest-earning assets)	3.16% / 3.32%	Q1 FY27 3.26% / 3.40%; Q4 FY26 3.38% / 3.53%
Other income	13,831	−3.6% YoY, about +8% QoQ
Fees and commissions	9,690	
Forex and derivatives	1,550	
Treasury	780	vs ₹2,390 cr a year earlier
Miscellaneous	1,810	
Operating expenses	18,970	Cost-to-income 39.1% (Q4 FY26 39.9%)
Provisions	3,574	Credit cost 0.44% (Q4 FY26 0.35%)
Gross / net NPA	1.11% / 0.37%	GNPA ₹35,810 cr; NNPA ₹11,851 cr; ex-agri GNPA 0.87%
Gross advances	32,19,500	+16.3% YoY; AUM +15.3%
Deposits	33,27,400	+18.8%; time deposits +22.8%; CASA +10.8%
CASA share of deposits	31.6%	About 33.9% a year earlier
Capital (CAR / CET1 / Tier 1)	18.9% / 17.1% / 17.2%	CAR 20% a year earlier
Balance sheet	45.78 trillion	Total
Consolidated net profit (H1 FY27)	39,940	Q2: net revenue ₹78,690 cr, net profit ₹20,700 cr

Source: Business Standard, NiftyTrader, Moneycontrol/TradingView (17-Oct-26). One outlet (Telangana Today) reported ₹19,610 cr and +5.2%; two others agree on ₹19,510 cr, which we use (Appendix D). Result was in line with a CNBC-TV18 poll (PAT ₹19,567 cr; NII ₹34,861 cr).

Reading the quarter: loans and deposits are both growing in the high teens, which is the growth the Bank signalled it would pursue once the loan-to-deposit ratio normalised after the merger. The cost is visible in the margin and in CASA mix. Provisions of ₹3,574 cr are modest relative to the ₹14,442 cr booked in Q1 FY26 (which included ₹9,000 cr of floating provisions, partly offset by a ₹9,128 cr gain on the HDB Financial IPO, per Outlook Business), so year-on-year comparisons for FY27 are cleaner than those in FY26.

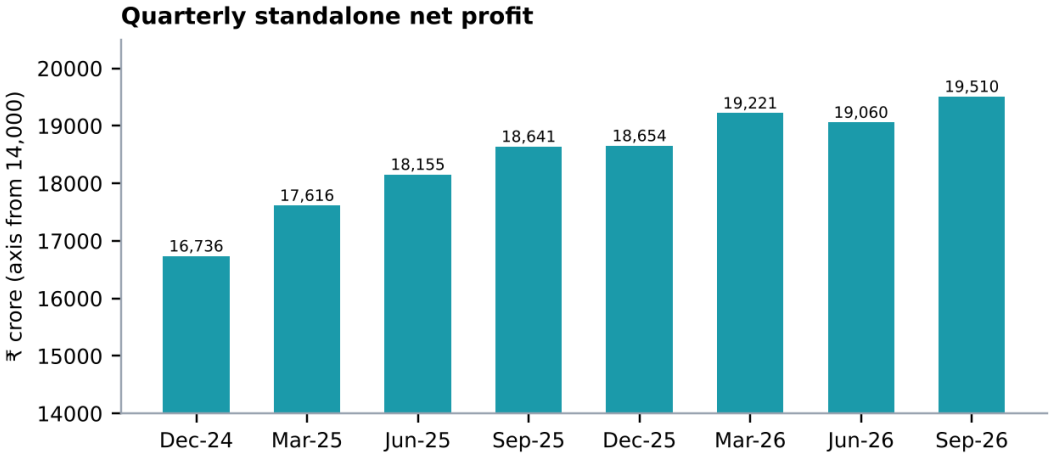


Figure 4: Quarterly standalone net profit, ₹ crore. Source: Screener. Note the y-axis starts at 14,000.

2.2 Q1 FY27 (reported 16 July 2026)

Q1 FY27 profit was ₹19,060 cr (+5% YoY), NII ₹33,534 cr (+7%), NIM 3.26% on total assets (3.40% on interest-earning assets), provisions ₹3,060 cr against ₹14,442 cr, gross NPA 1.17%, net NPA 0.41% and gross advances ₹30.60 lakh cr (+15.4%; advances under management +12.4%). The shares closed at ₹820.80 on 17 July 2026 (Angel One), after a fall of about 4.5–5.5% on results day. On 16 October 2026 they were ₹728.85, 11% below that level.

2.3 Governance and leadership timeline

Date	Event
19 Mar 2026	Chairman Atanu Chakraborty's resignation took effect (from 18 Mar). He cited "certain happenings and practices within the bank" not in congruence with his values and ethics. Shares fell 4.45%; the ADR fell 8%. Keki Mistry became interim chair.
26 Jun 2026	After external law-firm reviews the Bank said his statement was "not substantiated by the record reviewed and witness interviews". RBI had approved the transition plan and, per The Hindu, said there were no material governance concerns.
29 Jun 2026	Board appointed Rajiv Kumar (former Finance Secretary and Chief Election Commissioner) Part-time Chairman; RBI approved on 15 Jul 2026 for three years.
29 Aug 2026	MD & CEO Sashidhar Jagdishan informed the board he would not seek reappointment; his term ends 26 Oct 2026.
1 Oct 2026	Board approved Anup Bagchi as MD & CEO for three years from 27 Oct 2026 (additional director from 2 Oct), subject to RBI and shareholder approval. Deputy MD Kaizad Bharucha to leave at end-December 2026.

Sources: company disclosures as reported by The Hindu and other outlets cited in Appendix E.

2.4 Monetary policy

According to a 7 October 2026 report, the RBI's Monetary Policy Committee raised the repo rate by 25 bp from 5.25% to 5.50%, changed its stance from neutral to "calibrated tightening", and raised its FY27 CPI projection to 5.2% and GDP projection to 7.1%; the standing deposit facility rate is 5.25% and MSF and Bank Rate 5.75%. The source article is internally inconsistent about whether the vote was unanimous, which we flag in Appendix D. For banks with a large floating-rate loan book, a rising policy rate usually lifts asset yields before deposit costs reprice, but the lag and the resulting effect on HDFC Bank's margin are not quantified by the Bank, and we do not model them explicitly.

3. Company overview

3.1 Business and scale

HDFC Bank offers retail, SME and wholesale banking and, through subsidiaries, insurance, asset management, broking, education loans and non-bank lending. At 31 March 2026 (annual report) it had 9,689 branches (234 added in FY26), 21,172 ATMs and 2,11,178 employees. Standalone advances were ₹29,37,166 cr (+12.1%), deposits ₹31,05,250 cr (+14.4%) and the balance sheet ₹43,64,886 cr (+11.6%). Standalone net revenue was ₹1,91,218.6 cr against ₹1,68,302.4 cr; consolidated net profit was ₹76,030 cr per the press release (see Appendix D for a difference with Screener).

3.2 The HDFC Ltd merger

HDFC Ltd merged into HDFC Bank effective 1 July 2023 (record date 13 July 2023). One source gives the exchange ratio as 42 HDFC Bank shares for every 25 HDFC Ltd shares; another says 25 for 17, so we flag the ratio as unresolved (Appendix D). HDFC Ltd shareholders owned about 41% of the combined bank. The combined loan book was above ₹23.5 trillion (HDFC Bank ₹16.14 trillion plus HDFC Ltd ₹7.24 trillion), deposits ₹20.3 trillion, with 8,300+ branches and about 1.73 lakh employees. The balance sheet effect is visible in Figure 5: standalone borrowings jumped from ₹2.07 lakh cr (FY23) to ₹6.62 lakh cr (FY24) and have since fallen 26% to ₹4.89 lakh cr as deposits (₹31.05 lakh cr) replaced wholesale funding.

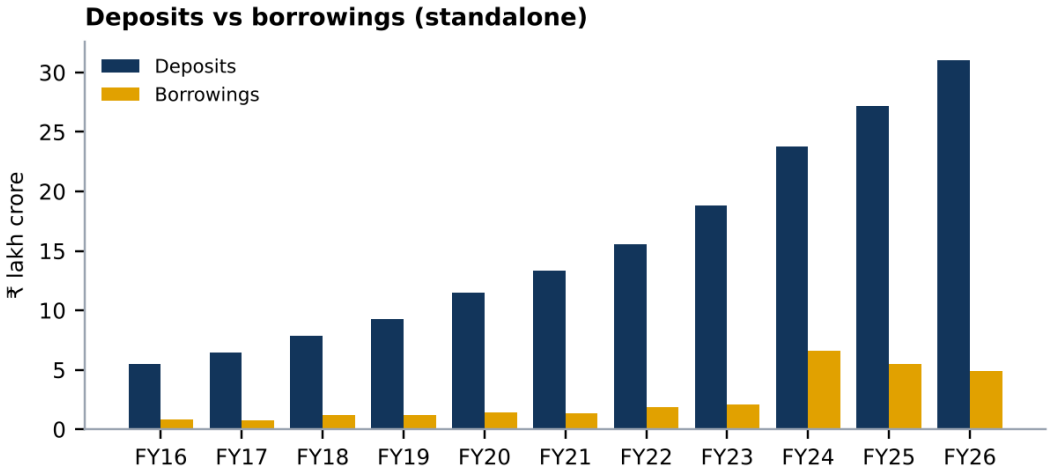


Figure 5: Standalone deposits and borrowings, ₹ lakh crore. Source: Screener.

3.3 Group structure

Annual-report subsidiaries include HDFC Life, HDFC ERGO, HDFC AMC, HDFC Credila, HDFC Securities and HDB Financial Services. HDB Financial listed on 2 July 2025, making it the fourth listed Group company. We do not hold the Bank's percentage ownership of each subsidiary from the sources used, and we therefore do not run a sum-of-the-parts valuation.

3.4 Strategy themes

- Growth in deeper geographies through branch expansion (234 branches in FY26).
- Digital-first journeys and the "Neev" AI platform, per the annual report.
- A "Service First Culture" programme.
- Deposit mobilisation to restore the credit-deposit ratio after the merger.

3.5 Ownership

HDFC Bank has no promoter. Foreign institutional investors' share has fallen from 48.38% (September 2025) to 39.39% (September 2026), while domestic institutions' share rose from 36.07% to 43.44%; public holders are 16.96% and government 0.19%. The number of shareholders rose from 37.0 lakh to 48.1 lakh over the year. The shift is consistent with foreign selling absorbed by domestic funds, although the sources do not explain the causes.

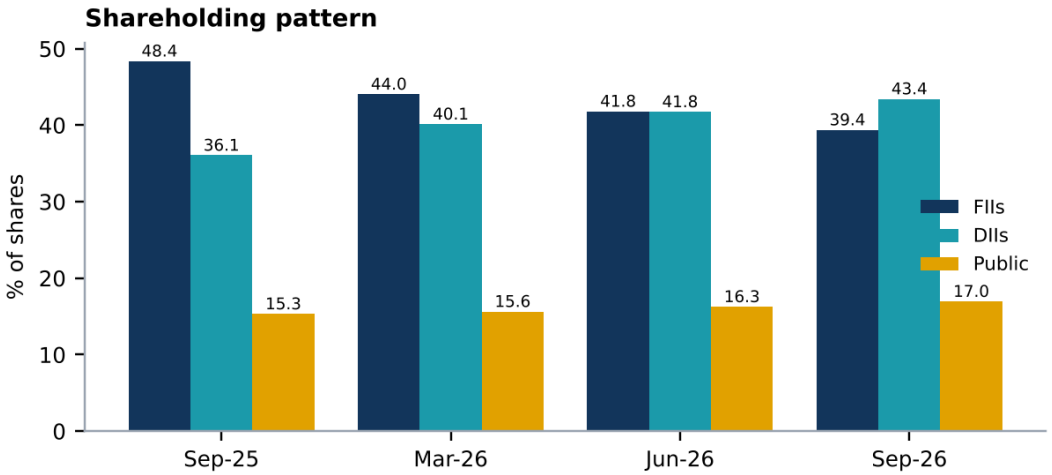


Figure 6: Shareholding pattern. Source: Screener (Sep-25, Mar-26, Jun-26, Sep-26).

4. Industry and macro backdrop

We keep this section to facts we could source. The macro inputs the Bank itself highlights in the annual report are a global environment of trade fragmentation and geopolitical tension, an energy shock stemming from West Asia, risk from an El Niño weather pattern and cyber-fraud. The chairman's letter cited RBI projections for FY27 of 6.6% GDP growth and 5.1% inflation. In October 2026 the MPC projected 7.1% GDP and 5.2% CPI and raised the repo rate by 25 bp to 5.50%, shifting to a "calibrated tightening" stance. These numbers come from different dates and sources and are not directly comparable.

Within the listed private and large public-sector banks we track, FY26 net profit (standalone) was: HDFC Bank ₹74,671 cr, SBI ₹80,032 cr, ICICI Bank ₹50,147 cr, Axis ₹24,457 cr and Kotak ₹14,008 cr. We do not hold industry-wide credit or deposit growth, sector NIM or system CASA data and so make no claim about HDFC Bank's share gains; the 16.3% and 18.8% growth rates in Q2

FY27 can be compared only with the Bank's own history.

5. Management and governance

Role	Name	Notes
MD & CEO (to 26-Oct-26)	Sashidhar Jagdishan	Not seeking reappointment (told board 29-Aug-26)
MD & CEO designate (from 27-Oct-26)	Anup Bagchi	Board-approved 1-Oct-26; RBI and shareholder approval pending. ICICI Group since 1992; ex-CEO ICICI Securities, ICICI Bank ED 2017–23; MD & CEO ICICI Prudential Life since Jun-23; IIM Bangalore, IIT Kanpur
Part-time Chairman	Rajiv Kumar	Former Finance Secretary and Chief Election Commissioner; RBI-approved 15-Jul-26 for three years
Deputy MD	Kaizad Bharucha	Leaving end-Dec-26
CFO	Srinivasan Vaidyanathan	Per annual report
Executive Director	V. Srinivasa Rangan	Per annual report
Chief Credit Officer	Jimmy Tata	Per annual report
Chief Risk Officer	Sanmoy Chakrabarti	Per annual report

Board. Independent directors named in the annual report: M. D. Ranganath, Sandeep Parekh, Dr Sunita Maheshwari, Lily Vadera, Dr Harsh Kumar Bhanwala and Santhosh Keshavan; non-independent director Renu Karnad. Independent directors form 54.55% of the board and three directors are women.

Assessment. The former chairman's statement is the most significant governance event of the year. The Bank's own review rejected it as unsubstantiated, and the RBI reportedly found no material governance concerns; we cannot independently verify either side and take no view on the merits. The practical consequence is that within nine months the chair, the CEO and a deputy MD are all changing. The appointment of an experienced banker with a long record inside the ICICI Group is, in our judgement, an orderly outcome, but regulatory approval and the new CEO's priorities have not yet been tested.

6. Financial analysis

6.1 Ten-year profile

₹ crore (standalone)	FY16	FY19	FY22	FY23	FY24	FY25	FY26
Net profit	12,296	21,078	36,961	44,109	60,812	67,347	74,671
EPS (₹, bonus-adj.)	12.16	19.35	33.33	39.53	40.02	44.01	48.51
Deposits	546,424	923,141	1,559,217	1,883,395	2,379,786	2,714,715	3,105,250
Borrowings	84,969	117,085	184,817	206,766	662,153	547,931	489,395
Deposits + borrowings / Total liabilities (%)	85	84	84	85	84	83	82
ROE % (Screener)	18	16	17	17	17	14	14
Dividend payout %	20	19	23	24	24	25	32

Source: Screener standalone annual data. "Total liabilities" per Screener balance sheet. Ratio computed by us.

Three observations. First, deposits have compounded at 19.0% and net profit at 19.8% over ten years, so earnings have grown roughly in line with funding, not faster — consistent with a falling ROE after the merger. Second, deposits plus borrowings account for 82–85% of total liabilities in every year shown, so balance-sheet growth is largely a funding story. Third, the dividend payout rose to 32% in FY26 (₹15.50 per share, including a ₹2.50 special interim paid on 11 August 2025 and a ₹13 recommended final), up from 24–25%; the Bank also announced its first-ever 1:1 bonus issue (we did not find the record date), which doubled the share count to about 1,541.85 cr.

6.2 FY26 in detail

FY26 metric	Value	FY25 / comment
Standalone net profit	₹74,671 cr	+10.9%; FY25 ₹67,347 cr
EPS (annual report)	₹48.62	FY25 ₹44.15 (AR basis); Screener shows 48.51 and 44.01
Net revenue	₹1,91,218.6 cr	FY25 ₹1,68,302.4 cr
ROA / ROE	1.94% / 14.3%	FY25 1.91% / 14.6%
NIM (avg. total assets)	3.34%	
Cost-to-income	38.0%	
GNPA / NNPA	1.15% / 0.38%	GNPA 0.91% excluding agriculture
CAR / Tier 1 / CET1	19.7% / 17.7% / 17.3%	Regulatory requirement 11.9%
CASA ratio	34.1%	
Advances / deposits growth	12.1% / 14.4%	Gross advances ₹29.6 lakh cr (+12.0%)
Q4 FY26 PAT	₹19,221 cr (Screener); ₹192.2 bn (+9.1%) per press release	NII ₹330.8 bn (+3.2%); cost-to-income 39.9%; credit cost 0.35%

Source: HDFC Bank FY26 press release and annual report; Screener.

Profit growth of 10.9% on advances growth of 12.1% means FY26 earnings were driven by balance-sheet growth and a flat-to-slightly-higher ROA (1.94% vs 1.91%), not by a large margin change. Q4 FY26 net interest income grew only 3.2% YoY, an early sign of the margin pressure that became visible in the next two quarters.

6.3 Loan-to-deposit position and funding

Using standalone advances and deposits, the FY26 advances-to-deposits ratio was 94.6% (our calculation). In Q2 FY27, gross advances of ₹32.195 lakh cr relative to deposits of ₹33.274 lakh cr give 96.8% — not strictly comparable because gross advances differ from net advances, and the bases (standalone vs reported) may differ slightly. The Bank has reduced borrowings by ₹1.73 lakh cr since FY24 while growing deposits by ₹7.25 lakh cr, supporting the view that the merged book is being re-funded with deposits. The cost of that strategy is the fall in CASA share to 31.6% and in margin.

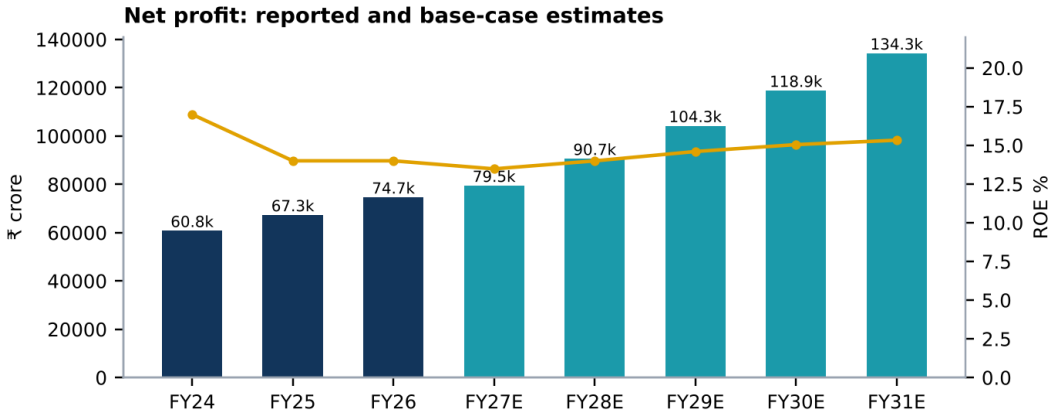


Figure 7: Net profit FY24–FY26 reported and FY27E–FY31E base case (our assumptions); ROE line (%, FY24–FY25 per Screener, FY26 per bank).

7. Forecasts and scenarios

We forecast net profit directly, not through a full line-by-line model, because the sources we could access do not give us a consistent series of average interest-earning assets, loan mix, fee income and operating expenses to build one without inventing figures. Net profit growth is therefore an explicit assumption in each scenario, and equity is rolled forward using a 32% payout (the FY26 level). We think this is the more honest approach and we give it as a limitation.

7.1 Assumptions

Net profit growth	FY27E	FY28E	FY29E	FY30E	FY31E	Rationale
Bear	4.0%	8.0%	9.0%	9.0%	9.0%	NIM stays near 3.2%, credit cost up, growth below deposit growth
Base	6.5%	14.0%	15.0%	14.0%	13.0%	H1 FY27 PAT +4.8%; H2 +8% as margin turns; then loan growth ~14–15% with stable ROA
Bull	9.0%	17.0%	18.0%	16.0%	15.0%	Margin recovers quickly and cost leverage returns

Base-case logic. H1 FY27 standalone profit was ₹38,570 cr (Q1 ₹19,060 cr + Q2 ₹19,510 cr), +4.8% on H1 FY26 (₹36,796 cr). Our FY27E profit of ₹79,525 cr (+6.5%) requires H2 FY27 of about ₹40,955 cr, +8% on H2 FY26 (₹37,875 cr). For FY28E–FY31E we assume 13–15% growth, below the 19–20% compound rate of the past 3–10 years (Screener), because FY24 included one-off merger effects and the earnings base is now much larger. These are our own assumptions and are not company guidance.

7.2 Base-case estimates

₹ crore	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Net profit	74,671	79,525	90,658	104,257	118,853	134,304
EPS (₹)	48.62	51.6	58.8	67.6	77.1	87.1
Equity (year-end)	5,62,901	616,978	678,625	749,520	830,340	921,666
Book value/share (₹)	365	400	440	486	539	598
ROE % (PAT/avg equity)	14.3	13.5	14.0	14.6	15.0	15.3
Residual income	–	14,791	19,706	26,215	32,658	38,815
P/E at CMP (x)	15.0	14.1	12.4	10.8	9.5	8.4
P/B at CMP (x)	2.00	1.82	1.66	1.50	1.35	1.22

Source: our estimates. FY26 equity = equity capital ₹1,539 cr + reserves ₹5,61,362 cr (Screener). Residual income = PAT − 11.5% × opening equity.

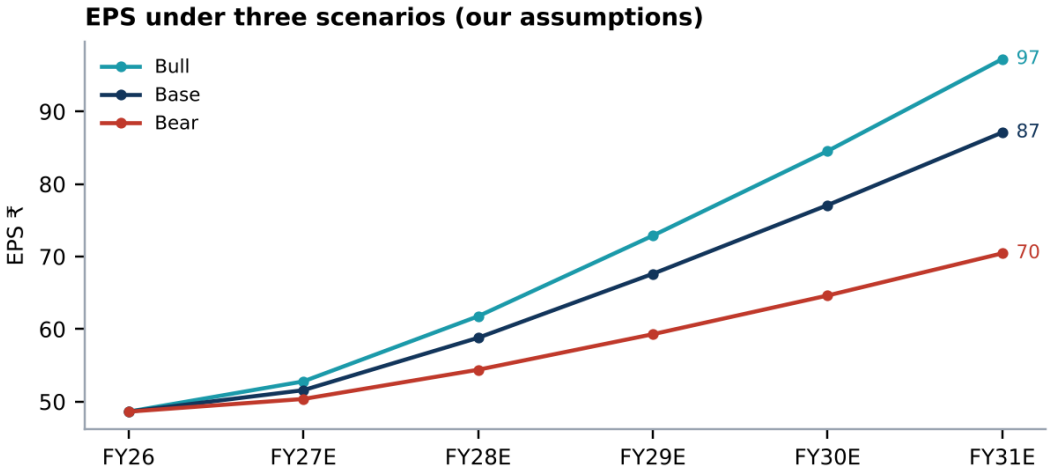


Figure 8: EPS under bear/base/bull scenarios (our assumptions). FY26 = ₹48.62.

7.3 Scenario summary

	Bear	Base	Bull
FY27E / FY31E EPS (₹)	50.4 / 70.4	51.6 / 87.1	52.8 / 97.2
FY31E ROE %	12.9	15.3	16.7
Terminal P/B at g = 6%, Ke = 11.5% (x)	1.26	1.70	1.94
Value today (₹)	503	697	816
12-month value (₹)	561	777	910
vs CMP (12M)	-23%	+7%	+25%

8. Valuation

8.1 Method

For a bank, free cash flow to equity is not meaningful because loan growth consumes capital. We therefore use a residual-income (excess-return) model: equity value = opening book value + the present value of each year's profit in excess of a cost-of-equity charge on opening equity + a terminal value. The terminal value assumes that after FY31E the Bank earns a constant ROE and grows at g, giving a terminal P/B of (ROE − g) ÷ (Ke − g). We discount mid-year, subtract the ₹13 final dividend (paid after the 31 March 2026 valuation date), roll the value forward to today at the cost of equity, and add a further 12 months to reach a 12-month value.

8.2 Cost of equity and growth

Cost of equity uses CAPM: a rupee risk-free rate of 5.42% (10-year G-sec at 7.29% on 9 October 2026 less a default spread of 1.87%), India's equity risk premium of 7.08% (Damodaran, January 2026) and an **assumed** beta of 0.85 (we did not have price history to measure beta). That gives 5.42% + 0.85 × 7.08% = 11.4%, which we round to 11.5%. Terminal growth is 6%, which is our assumption for nominal long-run growth in book value and sits below the 10-year G-sec yield. We emphasise that beta and the terminal growth rate are judgements; Section 8.5 shows their impact.

8.3 Base-case result

Component	₹ per share	% of value
Book value at 31-Mar-26	365	55%
PV of FY27E–FY31E residual income	63	9%
PV of terminal value	242	36%
Equity value at 31-Mar-26	670	100%
Less ₹13 final dividend, rolled to today (202 days)	697	Value today
12-month value	**777**	

Because a bank earning ROE close to its cost of equity creates little excess value, most of the value is book value plus the terminal value. In the base case the terminal ROE is 15.3% and the terminal P/B is 1.70x, implying that the Bank has to sustain a mid-teens ROE — above the 14.3% of FY26 — for the model to produce upside. This is an important dependency: the value is a bet on ROE recovering toward the 16–18% the Bank earned before the merger.

8.4 Peer cross-check

Peer (Screener, 16-Oct-26)	P/E (x)
ICICI Bank	18.4
Kotak Mahindra Bank	30.0
Axis Bank	14.5
State Bank of India	11.3
Median	**16.45**
HDFC Bank	14.7

We apply the peer median of 16.45x to our estimate of trailing EPS twelve months from now, taken as the average of FY27E and FY28E (₹55.2), giving ₹908. This is generous: it applies a trailing multiple to a forward earnings figure and ignores that peers' multiples reflect their own growth and ROE; Kotak's 30.0x is an outlier, though the median is robust to it. Excluding Kotak, the range of the three other peers (11.3x–18.4x) gives ₹624–1015. A five-point P/B vs ROE scatter (Figure 9) shows no clear relationship — SBI has the highest ROE (16.2%) and the lowest P/B (1.57x) — so we do not regress it.

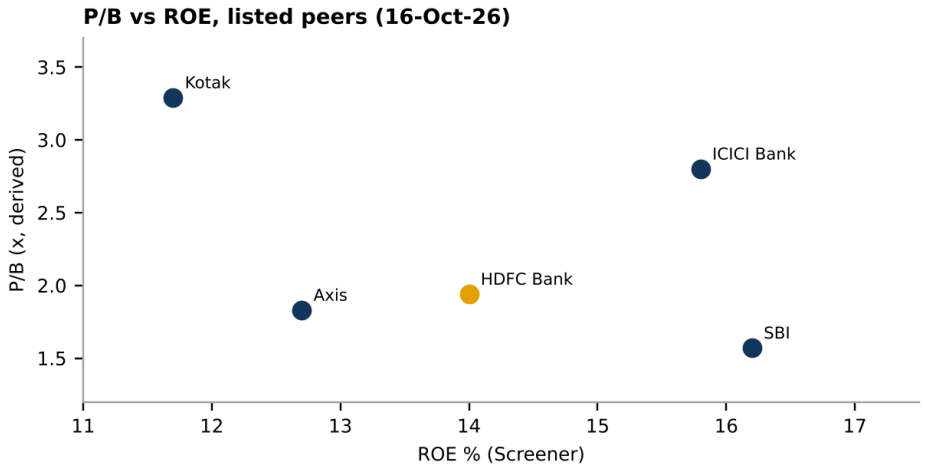


Figure 9: P/B (derived as price ÷ Screener book value) vs ROE (Screener). Illustrative only; peers are on mixed standalone/consolidated bases.

8.5 Target price, rating and sensitivity

Target price = average of the residual-income 12-month value (₹777) and the peer-P/E value (₹908) = ₹843, rounded to ₹845. Upside 15.9%, dividend yield 2.1% (FY26 dividend of ₹15.50 on the current price), total return 18.1%. Our rating bands are Buy above +15% total return, Hold −10% to +15% and Sell below −10%. We did not adjust any input after seeing the rating; the outcome is mechanical and marginal.

Value today (₹) by Ke \ g	g = 5.0%	g = 5.5%	g = 6.0%	g = 6.5%
Ke = 10.5%	795	829	870	921
Ke = 11.0%	721	745	775	811
Ke = 11.5%	658	676	697	723
Ke = 12.0%	604	617	633	651
Ke = 12.5%	557	567	578	591

Base-case residual-income value today, ₹ per share. CMP ₹728.85. Source: our model.

At a cost of equity of 12.0% or above the model value is below the market price at all growth rates shown; at 11.0% it is above the price at terminal growth of 5.5% or more (₹721 at 5.0%). The market price is consistent with a cost of equity of about 11.3% on our base-case forecasts. If our beta of 0.85 is too high — a beta of 0.8 would reduce Ke by about 35 bp — the stock looks cheaper; if the true beta is closer to 1.0, the stock looks fully valued.

9. Peer comparison

	HDFC	ICICI	Kotak	Axis	SBI
Price (₹)	728.85	1,397	447	1,290	963
Market cap (₹ cr)	11,23,776	10,03,031	4,45,068	4,01,689	8,88,554
P/E (x)	14.7	18.4	30.0	14.5	11.3
Book value/share (₹)	376	498	136	703	614
P/B (x, derived)	1.94	2.80	3.29	1.83	1.57
ROE %	14.0	15.8	11.7	12.7	16.2
Dividend yield %	2.1	0.86	0.15	0.08	1.80
52-week high / low (₹)	1,020.50 / 681.90	1,480 / 1,188	453 / 345	1,418 / 1,150	1,235 / 891
FY26 net profit (₹ cr)	74,671	50,147	14,008	24,457	80,032
FY26 EPS (₹)	48.62	70.04	14.08	78.69	86.70
Latest quarter profit (₹ cr)	19,510 (Sep-26)	14,843 (Sep-26)	4,123 (Jun-26)	7,003 (Sep-26)	21,121 (Jun-26)
GNPA / NNPA %	1.11 / 0.37	1.20 / 0.30	1.18 / 0.27	1.16 / 0.35	1.47 / 0.38

Source: Screener standalone tables (16-Oct-26); HDFC dividend yield per Tickertape (Screener shows 1.78%). Kotak price reflects a 5:1 split. Peer asset-quality dates differ (Kotak and SBI are June-26). Book value and P/B are aggregator data on mixed bases.

HDFC Bank is the second most profitable of the five by FY26 net profit (SBI ₹80,032 cr), pays a higher dividend yield than the other private banks (2.1% vs ICICI 0.86%) and has the lowest GNPA of the five (1.11%), though its NNPA (0.37%) is higher than ICICI (0.30%), Kotak (0.27%) and Axis (0.35%). It earns a lower ROE than ICICI (15.8%) and SBI (16.2%). Its valuation discount to ICICI (1.94x vs 2.80x book; 14.7x vs 18.4x earnings) is the main relative-value argument for our rating, and the 1.8-point ROE gap is the main counter-argument.

10. Risks

Risk	Why it matters	What we would watch
Margin / funding	NIM fell from 3.38% to 3.16% in two quarters; CASA 31.6% from 33.9%. A further 10 bp fall lowers PAT materially.	Q3 FY27 NIM; CASA share; time-deposit repricing; repo-hike transmission
Leadership transition	CEO, chair and a deputy MD all changing within nine months; RBI/shareholder approval of Bagchi pending.	RBI approval; new CEO's priorities; further senior exits
Governance	Former chairman's allegations were rejected by the Bank's review but remain unresolved publicly.	Further regulatory comment; disclosures
Credit costs	Credit cost 0.44% in Q2 FY27 vs 0.35% in Q4 FY26; Agri GNPA gap (1.11% vs 0.87%).	Slippages; SME (+23.5%) and unsecured performance
Foreign selling / flows	FII stake 48.4% → 39.4% in a year; price −26.7%.	Quarterly shareholding; domestic fund flows
Valuation sensitivity	Value falls to about ₹578 at Ke 12.5% (g 6%); terminal ROE assumption critical.	Our beta assumption; consensus changes
Macro	Repo hike, inflation 5.2% projection, West Asia energy shock, trade fragmentation, El Niño, cyber fraud (annual report).	RBI path; GDP and credit demand
Model risk	Net profit growth is assumed, not built from drivers; no consensus or historical multiple data used.	Replace with a driver-based model when data are available

11. Catalysts and monitoring list

- **27 Oct 2026:** start of Anup Bagchi's term, if RBI and shareholder approval are received; first public statements on strategy.
- **Q3 FY27 results (January 2027, date not announced):** management guided to an upturn in margin trajectory "from the next quarter onwards".
- **End-Dec 2026:** departure of Kaizad Bharucha; successor arrangements.
- **Deposit mix:** CASA share and the pace of time-deposit growth.
- **RBI policy path** after the October repo hike.
- **Subsidiaries:** HDB Financial and other group companies as sources of value recognition.
- **Shareholding:** stabilisation of FII selling.

Appendix A. Annual financials (standalone, Screener)

₹ crore	Revenue	Interest	Expenses	Financing profit	Other income	Net profit	EPS (₹)	Payout %
FY16	60,221	32,630	18,999	8,592	10,752	12,296	12.16	20
FY17	69,306	36,167	22,464	10,676	12,296	14,550	14.19	19
FY18	80,241	40,146	27,712	12,383	15,220	17,487	16.85	19
FY19	98,972	50,729	32,529	15,714	17,626	21,078	19.35	19
FY20	114,813	58,626	41,644	14,542	23,261	26,257	23.94	5
FY21	120,858	55,979	47,123	17,757	25,205	31,117	28.22	12
FY22	127,753	55,744	50,904	21,105	29,510	36,961	33.33	23
FY23	161,586	74,743	57,329	29,513	31,215	44,109	39.53	24
FY24	258,341	149,808	84,068	24,464	49,241	60,812	40.02	24
FY25	300,517	177,847	76,445	46,225	45,632	67,347	44.01	25
FY26	307,522	178,836	92,392	36,294	62,533	74,671	48.51	32

Source: Screener. Line definitions are Screener's presentation for banks ("Financing profit" = revenue − interest − operating expenses). The sharp rise in revenue and interest in FY24 reflects the merger. EPS is bonus-adjusted.

Appendix B. Quarterly series (standalone)

Quarter	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26
Net profit (₹ cr)	16,736	17,616	18,155	18,641	18,654	19,221	19,060	19,510
GNPA %	1.42	1.33	1.40	1.24	1.24	1.15	1.17	1.11
NNPA %	0.46	0.43	0.47	0.42	0.42	0.38	0.41	0.37
NIM on assets %	–	–	–	–	–	3.38	3.26	3.16

Source: Screener (profit, NPA); press releases and media for NIM. NIM for quarters before Q4 FY26 was not available from our sources.

Appendix C. Residual-income model by scenario

Base case	FY27E	FY28E	FY29E	FY30E	FY31E
Net profit (₹ cr)	79,525	90,658	104,257	118,853	134,304
Closing equity (₹ cr)	616,978	678,625	749,520	830,340	921,666
ROE %	13.5	14.0	14.6	15.0	15.3
Residual income (₹ cr)	14,791	19,706	26,215	32,658	38,815
EPS (₹)	51.6	58.8	67.6	77.1	87.1

Bull case	FY27E	FY28E	FY29E	FY30E	FY31E
Net profit (₹ cr)	81,391	95,228	112,369	130,348	149,900
Closing equity (₹ cr)	618,247	683,002	759,413	848,050	949,982
ROE %	13.8	14.6	15.6	16.2	16.7
Residual income (₹ cr)	16,658	24,130	33,824	43,015	52,374
EPS (₹)	52.8	61.8	72.9	84.5	97.2

Bear case	FY27E	FY28E	FY29E	FY30E	FY31E
Net profit (₹ cr)	77,658	83,870	91,419	99,647	108,615
Closing equity (₹ cr)	615,708	672,740	734,905	802,665	876,523
ROE %	13.2	13.0	13.0	13.0	12.9
Residual income (₹ cr)	12,924	13,064	14,054	15,132	16,308
EPS (₹)	50.4	54.4	59.3	64.6	70.4

Parameters: Ke 11.5%, g 6%, payout 32%, shares 1,541.85 cr, mid-year discounting. Base: PV of residual income ₹96,808 cr; PV of terminal value ₹372,559 cr; equity value at 31-Mar-26 ₹1,032,267 cr.

Appendix D. Data notes, conflicts and unavailable inputs

- **Q2 FY27 profit:** Business Standard and NiftyTrader report ₹19,509.96 cr (+4.7%); Telangana Today reports ₹19,610 cr (+5.2%). We use ₹19,510 cr.
- **Merger exchange ratio:** ICICIdirect gives 42 HDFC Bank shares per 25 HDFC Ltd; 5paisa gives 25 per 17. We could not reconcile them and do not use the ratio in any calculation.
- **Consolidated FY26 profit:** press release ₹760.3 bn (₹76,030 cr); Screener consolidated ₹79,219 cr (FY25 ₹73,440 cr). Differences may reflect definitions (e.g., minority interest, associates); not reconciled. We use standalone figures for all modelling.

- **P/E and P/B:** Tickertape shows P/E 14.78 (also 14.03) and P/B 1.85 (consolidated); Screener shows P/E 14.7 and book value ₹376 (P/B about 1.94x). We use Screener; our own equity ÷ shares gives ₹365 and 2.00x.
- **Dividend yield:** 2.12% (Tickertape) vs 1.78% (Screener). We use ₹15.50 ÷ price = 2.1%.
- **EPS:** annual report ₹48.62 (FY26) vs Screener ₹48.51; FY25 ₹44.15 (AR) vs ₹44.01 (Screener).
- **MPC vote:** the source article describes the 7 Oct 2026 decision as both unanimous and 4–2; we do not rely on the vote count.
- **Not available to us:** measured beta; consensus estimates (Tickertape shows 95% of 41 analysts at Buy, nothing else); historical P/E and P/B ranges; long-run NIM; segment loan mix and customer counts at FY26; subsidiary ownership percentages; the bonus record date. These are not estimated.
- **Peers:** multiples are aggregator data on mixed standalone/consolidated bases and at different dates for asset quality.
- **Network restrictions:** hdfc.bank.in could not be fetched from our shell; annual-report and press-release figures were read through a fetch tool and cross-checked with media reports where possible.

Appendix E. Sources

- HDFC Bank Annual Report 2025-26 and FY26/Q4 press release.
- Business Standard, NiftyTrader, Moneycontrol/TradingView, Telangana Today (Q2 FY27 coverage, 17 Oct 2026); CNBC-TV18 poll.
- Angel One (Q1 FY27 results and 17 Jul 2026 close); Outlook Business (HDB IPO gain, Q1 FY26 provisions).
- Screener (standalone and consolidated tables, shareholding, peer pages, 16 Oct 2026); Tickertape (market data, analyst share).
- The Hindu (chairman resignation and RBI statement); company disclosures on Anup Bagchi and Rajiv Kumar appointments.
- thetaxcorp (RBI MPC, 7 Oct 2026); ICICIdirect and 5paisa (merger terms).
- Damodaran (India ERP, January 2026); 10-year G-sec yield (9 Oct 2026).

Appendix F. Methodology, rating bands and disclaimer

Rating bands (12-month total return = price upside + dividend yield): Buy above +15%; Hold −10% to +15%; Sell below −10%. Target price = simple average of residual-income value and peer-median-P/E value, rounded to the nearest ₹5. Estimates, the cost of equity, the terminal growth rate and scenario probabilities are the author’s assumptions and are not company guidance or consensus. Figures are as of 16 October 2026 unless stated. This document was produced with AI assistance from public sources, has not been reviewed by a registered research analyst and is not investment advice; the author holds no position and this is not a recommendation to buy or sell any security. Readers should verify figures against the company’s filings.